

ENGLISH **LIVE**

18

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 18

17th February, 2017

Align Banks' Interest with Those of Bankers

A 2009 set of G20 guidelines throws useful light

It is welcome that the government is considering reform of public sector bankers' pay, and stock options and bonuses are being examined. Banking culture has to change dramatically, particularly in the public sector; and the only way to attract and retain top talent is to reward them as well as alternative employment would. Bankers would abandon underhand methods of enriching themselves if open, transparent mechanisms are instituted, to reward them for sound decisions and the hard work that must necessarily precede the hard work.

It would be useful for the Banks Board Bureau and the government to take on board some guidelines firmed up by the G20 and the Financial Stability Board in 2009 on the subject. There has to be a clear distinction between employees whose work has a material impact on the performance of the bank and the rest. Corporate governance and regulatory and capital adequacy considerations must inform compensation decisions. Banks must disclose compensation decisions—these



must be made public and reported to regulators. Two-fifths to three-fifths of the remuneration of senior managers whose decisions have a material impact on the working of the bank must be as a variable component. The variable component should be deferred

for at least three years and paid out mostly linked to bank stocks, to align individual and bank interests. Liberal incentives must have not just deferral but also claw-back provisions built into them, so that when a time bomb on the banks' books goes off, those who lit its slow fuse would pay, even long after they have left the bank. Experts and independent reviewers must be engaged to design and monitor bankers' pay.

It would be useful to bring in similar guidelines for private sector banks, too. That would mean limiting the scope of union-bargaining for pay and allowances to the ranks of the junior staff and workers in departments whose working does not materially affect bank performance. Restructuring bankers' pay, in other words, calls for expertise, transparency and, above all, political will.

Align banks' interest with those of bankers

THE ECONOMIC TIMES

16th February 2017

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- It is welcome that the government is considering reform of public sector bankers' pay, and **stock options** and **bonuses** are being examined.
- Banking culture has to change **dramatically, particularly** in the public sector, and the only way to attract and retain top talent is to **reward** them as well as alternative employment would.
- Bankers would **abandon underhand** methods of **enriching** themselves if open, **transparent** mechanisms are instituted, to reward them for sound decisions and the hard work that must necessarily precede the hard work.
- It would be useful for the Banks Board Bureau and the government to take **on board** some guidelines firmed up by the G20 and the Financial Stability Board in 2009 on the subject.
- There has to be a clear **distinction** between employees whose work has a **material impact** on the performance of the bank and the rest.
- **Corporate governance** and regulatory and **capital adequacy** considerations must inform **compensation** decisions. Banks must **disclose** compensation decisions — these must be made public and reported to regulators. Two-fifths to three-fifths of the **remuneration** of senior managers whose decisions have a material impact on the working of the bank must be as a variable component. The variable component should be deferred for at least three years and paid out mostly linked to bank stocks, to align individual and bank interests.
- Liberal incentives must have not just deferral but also **clawback** provisions built into them, so that when a time bomb on the banks' books goes off, those who lit its slow fuse would pay, even long after they have left the bank. Experts and independent reviewers must be engaged to design and monitor bankers' pay.
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It is welcome that the government is considering reform of public sector bankers' pay, and *stock options* and *bonuses* are being examined.

Align

*The governance aspects must be **aligned** with social development, equity and growth.*



Align

To get or fall in line / to change so as to have correct relationship with something else

ESOPs

ESOP MEANING

A benefit plan in which employees own a percentage of their company's shares.

Infosys®



Google



ESOPs

Employee Stock Ownership Plans

Bonus

*A productivity linked **bonus** of 60 days salary was announced by the Indian Railways.*



Bonus

Extra money given as a reward for good work

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Banking culture has to change *dramatically, particularly* in the public sector, and the only way to attract and retain top talent is to *reward* them as well as alternative employment would.

Dramatic

*Tamil Nadu Politics took a **dramatic** turn as Sasikala Natarajan was convicted in disproportionate assets case.*



Dramatic

Sudden /unexpected thing to happen or full of action and excitement

Particularly

Our English teacher is very **particular**, when it comes to punctuation marks.



Particularly

Especially or more than usual

Reward

*Bank employees should be suitably **rewarded** for successful handling of demonetization.*



Reward

Advantage in the form of money / ESOPs / promotions given to recognize hard work / success

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Bankers would *abandon underhand* methods of *enriching* themselves if open, *transparent* mechanisms are instituted, to reward them for sound decisions and the hard work that must necessarily precede the hard work.

Abandon

Tata Group **abandoned** Nano car project in West Bengal.



Abandon

To stop an activity before it is finished / withdrawal through half way

Underhand

***Underhand** deals of some politicians are adversely affecting the progress of India.*



Underhand

Done secretly / dishonestly / illegally, so as to gain advantage

Enrich

*My life was greatly **enriched**
after my interaction with English
professor*



Enrich

To improve the quality of something by adding something else

Opaque



Opaque

Prevent light from travelling through

Transparent



Transparent

Can see through it very clearly

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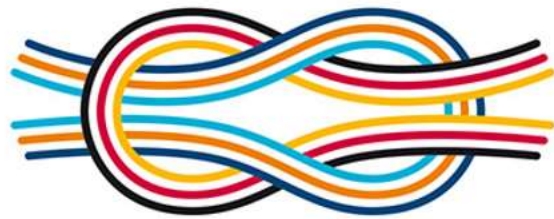
On board

*Village level
Government
administration must be
taken **on board** to make
Swachh Bharat a
success.*



On board

As part of a group or team, especially for a special purpose



G20 GERMANY 2017
LABOUR AND EMPLOYMENT
MINISTERIAL MEETING

*High level discussion on
key issues of global
economy*



FINANCIAL
STABILITY
BOARD

*It makes recommendations
about the global financial
system.*

Headquarters : Basel, Switzerland

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There has to be a clear *distinction* between employees whose work has a *material impact* on the performance of the bank and the rest.

Distinction

*It is difficult to draw a clear **distinction** between the meanings of two different words in English language.*



soar

sore



hare



hair



Distinction

Difference between two similar things

Material impact

Reducing corruption will have **material impact** over the welfare of the people.



Material impact

Measurable / physical impact

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Corporate governance and regulatory and *capital adequacy* considerations must inform *compensation* decisions. Banks must *disclose* compensation decisions — these must be made public and reported to regulators. Two-fifths to three-fifths of the *remuneration* of senior managers whose decisions have a material impact on the working of the bank must be as a variable component. The variable component should be deferred for at least three years and paid out mostly linked to bank stocks, to align individual and bank interests.

Corporate governance

The recent incidents of Infosys and Tata Sons indicate that there is an urgent need for stringent corporate governance norms.

Infosys®



Corporate governance

The way in which a company is managed by the top management

$$\text{CAPITAL ADEQUACY RATIO} = \frac{\text{Capital}}{\text{Risk Weighted Assets}}$$

9% as per Basel III norms

Compensation



Compensation was paid up to an extent of Rs. 2 lakhs to those who lost their houses in fire accident.

Compensation

Money paid for damages

Annual
compensation
includes
salary, bonus
and **ESOPs**.



Compensation

Combination of payments and other benefits that an employee receives for doing their job

Disclose

*Reliance Jio refused to **disclose** their future plans for obtaining substantial market share in Telecom industry*

RELIANCE



Disclose

To make something known publicly

Remuneration

*The **remuneration** package for senior management of Facebook is quite attractive.*



Remuneration

Paid to the employee for the work done to the organization.
It may include monetary / non monetary payments.

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Liberal incentives must have not just deferral but also **clawback** provisions built into them, so that when a time bomb on the banks' books goes off, those who lit its slow fuse would pay, even long after they have left the bank. Experts and independent reviewers must be engaged to design and monitor bankers' pay.

Clawback

*Public sector enterprises
should give liberal
incentives, with **clawback**
provisions.*



Clawback

Situation in which a government or company takes back money that it has already paid

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Restructuring

*There is a need for
restructuring the software
firms in view of the global
challenges.*

Infosys®



Restructuring

Act of organizing a company, a business to make it operate more effectively

Expertise

*In India, there is sufficient **expertise** available in space research.*



Expertise

High level of knowledge or skill

Opaque



Opaque

Prevent light from travelling through

Transparent



Transparent

Can see through it very clearly

Let's Not Rush Into More Bank Mergers

The Union Cabinet's nod to the State Bank of India's (SBI) merger with its own five associate banks is welcome. It will place the country's largest lender among the top 50 global lenders, bring efficiency in its treasury operations and lower operating costs. Bigger size would allow SBI to finance large infrastructure projects and takeover deals with greater ease. Already, the SBI carries the tag, along with ICICI, of a domestic systemically important bank and, therefore, needs to set aside more capital than its peers to cover risks. The combined entity should be well capitalised.

However, the merger cannot fix the problem of bad loans. They must be resolved so that capital infusion does not end up as provisioning against bad loans. Post 2009-10, SBI had gained market share in deposits after the merger of State Bank of Indore with itself. So, consolidation will be beneficial for deposit growth. However, employee integration could be tricky, apart from other reported challenges such as provisions for pension liability due to differing employment benefit structures and synchronising accounting policies for recognition of bad loans.

According to analysis by Kotak Institutional Equities, SBI has 18% share in branches and 22% share in deposits and loans. It would be in the interest of the industry and the economy to not add to systemic risk. To keep banking competitive and to prevent the creation of banks that are too big to fail and of bankers who are too big to go to jail, the government should resist the temptation to rush into more bank mergers. India needs more payment banks and small banks to achieve financial inclusion, not gigantism. Let there be a couple of big banks, yet more new banks of different sizes and intense competition amongst them.



DISCUSSION ON

20th Feb (Monday)

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